Alibaba Group

March Quarter 2025 and Full Fiscal Year 2025 Results

Conference Call

Transcript

Thursday, 15 May 2025

Introduction

Lydia Liu

Head of Investor Relations, Alibaba Group

(Original)

Good day everyone. Welcome to Alibaba Group's March Quarter and Full Fiscal Year 2025 earnings conference call. With us today are Joe Tsai, Chairman; Eddie Wu, Chief Executive Officer; Toby Xu, Chief Financial Officer; Jiang Fan, Chief Executive Officer of Alibaba E-Commerce Business Group. This call is also being webcast from the Investor Relations section of our corporate website. A replay of this call will be available on our website later today.

Now let me quickly cover the Safe Harbor. Today's discussions may contain forward-looking statements, particularly statements about our business and financial results, that are subject to risks and uncertainties, which could cause actual results to differ materially from those contained in the forward-looking statements. Please refer to the safe harbor statements that appear in our press release and investor presentation provided today.

Please note that certain financial measures that we use on this call are expressed on a non-GAAP basis. Our GAAP results and reconciliations of GAAP to non-GAAP measures can be found in our earnings press release.

Unless otherwise stated, growth rate of all stated metrics refers to year-over-year growth versus the same quarter last year.

And now, I will now turn the call over to Eddie.

Group Business Update

Eddie Wu

CEO, Alibaba Group

(Translation)

Thank you. Welcome to our earnings call for the fiscal year.

We delivered strong performance this quarter with total revenue excluding Sun Art and Intime growing 10% year-over-year and adjusted EBITA increasing 36% year-over-year. For fiscal year 2025, our “User-First, AI-Driven” strategy continued to deliver meaningful results with accelerated growth across our core businesses. We've established a well-defined growth portfolio centered on AI + Cloud, e-commerce, and other internet platform businesses.

We're seizing the historic opportunity presented by AI and stepping up our investments in AI infrastructure and advanced technologies to further strengthen Alibaba’s global leadership in technology. These capabilities will also be translated into sustained drivers of business growth.

Driven by robust and growing AI demand, Alibaba Cloud’s revenue growth accelerated to 18% this quarter, with revenue excluding Alibaba-consolidated subsidiaries increasing 17% year-over-year. Public cloud revenue growth continued to accelerate. Revenue from AI-related products has maintained triple digit year-over-year growth for the seventh consecutive quarter. For the full fiscal year, Alibaba Cloud’s revenue grew by double digits, and looking ahead, we expect AI to remain a key driver of accelerated revenue growth for Alibaba Cloud.

While uncertainties persist in the global AI supply chain, customer demand remains strong and unwavering. We continue to see growing demand for Cloud and AI, an opportunity that will define the next 10 to 20 years and will not be derailed by short-term supply chain fluctuations. Our confidence and commitment to investing in Cloud and AI infrastructure remains unchanged, and we are actively exploring diversified solutions to meet rising customer demand.

We continue to advance foundational research and innovation in large models, pushing the boundaries of model capabilities while remaining firmly committed to open-source. In April, we released our next generation Qwen3 model as open source, ranking amongst the top performers globally on multiple authoritative benchmarks. By the end of April, we had open-sourced over 200 models under the Qwen family, with more than 300 million downloads worldwide and over 100,000 derivative models, making it the world's largest open-source model family.

As we accelerate the adoption of AI + Cloud across a wide range of industries, two clear trends have emerged. Among large and mid-sized enterprises, AI applications are expanding from internal systems to more customer-facing use cases. At the same time, the adoption of AI products is rapidly extending from large enterprises to a growing number of small and medium-sized businesses.

This quarter, the industry penetration of our AI products expanded rapidly. In addition to faster adoption across sectors like internet services, autopilot, financial services, and online education, we're also seeing strong momentum in more traditional industries, such as livestock farming and traditional manufacturing, which are actively exploring AI applications and have shown significant growth in demand.

In the financial sector, we continue to deepen our industry leadership. Recently the Industrial and Commercial Bank of China (ICBC) officially selected Alibaba Cloud's PolarDB as its enterprise-wide transactional distributed database. This represents a strong endorsement of our technological capabilities by one of the most demanding financial institutions in terms of business performance and technology requirements.

In e-commerce, we remain focused on putting users first. We continue to invest in user growth and improving user experience. Taobao and Tmall Group saw stronger momentum in new user growth and 88VIP members surpassed 50 million. This quarter, TTG customer management revenue rose 12% year-over-year, while adjusted EBITA increased by 8%. We continued to invest in improving the operating environment for merchants, increasing our support for those offering high-quality products and services.

Fueled by strong momentum in its cross-border businesses, AIDC achieved year-over-year revenue growth of 22% this quarter. Operational and investment efficiency also continue to improve. Despite potential uncertainties in global trade regulations, we remain confident that AIDC's diversified footprint across global markets positions us well to manage changes effectively, and we remain on track to achieve overall quarterly profitability in our international e-commerce business in the coming fiscal year.

Other businesses within the group continued to maintain healthy operations. The Digital Media and Entertainment Group achieved profitability on an adjusted EBITA basis this quarter.

In fiscal year 2026, we will continue to focus on driving growth in our core businesses of e-commerce and AI + Cloud, while shaping a second growth curve powered by technology over the medium to long term.

Thank you.

Financial Highlights

Toby Xu

CFO, Alibaba Group

(Original)

Thank you, Eddie.

The strong financial results of the past quarter highlight the good progress we are making in driving growth in our core businesses.

On our Taobao and Tmall businesses, we saw a substantial increase in CMR growth, which grew 12% year-over-year, primarily driven by the improvement of take rate. Our take rate benefited from the impact of the software service fee and the increasing penetration of Quanzhantui. Merchants benefit through Quanzhantui's convenience of use and improvement of marketing efficiency.

Our cloud business continues to exhibit robust momentum with revenue growth accelerating to 18% and overall revenue excluding Alibaba-consolidated subsidiaries accelerated to 17%, driven by an even faster public cloud revenue growth.

Notably, our AI momentum remains robust with AI-related product revenue sustaining triple digit growth for the seventh consecutive quarter. We are seeing our AI products being adopted across increasingly diverse industries, including a set of digital native industries, as well as traditional verticals such as manufacturing, reflecting the broader application of AI technologies in real-world business environment. These demonstrate our commitment to innovation and reinforce our leadership in the Cloud and AI sectors.

This quarter, AIDC maintained its rapid growth momentum, primarily driven by strong performance in cross-border businesses. We continue to enrich its product offerings and diversify its business models to meet the needs of local consumers through local supply. We will continue to focus on enhancing operating efficiency and navigating in dynamic macro and geopolitical environment.

Our commitment to sustainable growth and improving efficiency delivered solid results, with all segments achieving year-over-year EBITA improvement this quarter, leading to a 36% increase in overall group EBITA. A number of loss-making businesses are on track of turning profitable, while we are investing in select strategic AI-driven initiatives that position us to capture long-term opportunities and create value to our users and customers.

This quarter, we continue to optimize our business portfolio by exiting non-core assets. We expect to generate US$2.6 billion in maximum of cash proceeds from the sale of Sun Art and Intime. These actions allow us to sharpen our focus on core businesses and invest in key growth areas, while also enabling solid cash return to shareholders.

Our board of directors has approved an annual dividend of US$1.05 per ADS, representing a 5% increase year-over-year. This increase reflects the impact of our share repurchase program, which resulted in a 5.1% net reduction in share count after accounting for ESOP issuance for this fiscal year.

The board also approved a special dividend of US$0.95 per ADS, which is higher than last year's US$0.66 per ADS. This increase demonstrates that we are making solid progress in disposing non-core businesses and financial investments.

In total, we are distributing US$2 per ADS in cash dividends this year, amounting to US$4.6 billion. Combined with the US$11.9 billion in share repurchases, we have returned a total of US$16.5 billion to our shareholders for this fiscal year.

On a consolidated basis:

Total consolidated revenue was RMB236.5 billion, an increase of 7% year-over-year. Excluding the revenue from Sun Art and Intime, group revenue would have grown 10% year-over-year.

Consolidated adjusted EBITA increased 36% to RMB32.6 billion, primarily attributable to revenue growth and improved operating efficiency, partly offset by the increase in investments in our e-commerce businesses and technology.

Our non-GAAP net income was RMB29.8 billion, an increase of 22%.

Our GAAP net income was RMB12 billion, an increase of RMB11.1 billion, primarily due to mark-to-market changes from our equity investments, the increase in income from operations and the decrease in impairment of equity method investments, partly offset by the losses arising from the disposal of subsidiaries.

Operating cash flow this quarter was RMB27.5 billion, an increase of 18%. Free cash flow this quarter decreased 76% to RMB3.7 billion, which was mainly attributed to the increase in our cloud infrastructure expenditure.

As of March 31, 2025, we continue to maintain a strong net cash position of RMB366.4 billion, or US$50.5 billion.

The strong net cash position and healthy operating cash flow bring us confidence and sufficient resources to increase our investment in Cloud and AI infrastructure to capitalize the sustained strong demand and the substantial growth potential presented by latest AI innovations.

Now let's look at the segment results, starting with Taobao and Tmall Group.

Revenue from Taobao and Tmall Group was RMB101.4 billion, an increase of 9%. Customer management revenue increased by 12%, primarily driven by the improvement of take rate. Our take rate benefited from the impact of software service fee and increasing penetration of Quanzhantui. Merchants benefit through Quanzhantui’s convenience of use and improvement of marketing efficiency.

We continue to invest in user growth and other strategic initiatives such as price competitive products, customer service, membership program benefits, and AI technology applications to enhance user experience. These efforts led to stronger momentum in new consumer growth and a continuous increase in orders.

On the merchant end, we remained focused on improving their operating environment and ensuring their sustainable development on our platform. In particular, we increased the support of merchants that provide high quality products and customer services, including support for marketing, new product launches, and customer management.

During this quarter, the number of 88VIP members continued to increase by double digits year-over-year, surpassing 50 million, with solid profitability and increasing ARPU on a cohort basis. We will continue to focus on its retention rate.

Taobao and Tmall Group adjusted EBITA increased by 8% to RMB41.7 billion, primarily due to the increase in revenue from customer management service, partly offset by the increase in investments in user experience and technology.

Revenue from AIDC grew 22% to RMB33.6 billion this quarter, primarily driven by strong performance in cross-border businesses. AIDC’s adjusted EBITA was a loss of RMB3.6 billion compared to a loss of RMB4.1 billion in the same quarter last year.

AIDC continued to focus on enhancing operating and investment efficiency, leading to narrowed losses this quarter. In particular, the unit economics of the AliExpress *Choice* business improved on a sequential basis.

AIDC has a diverse geographical presence. Moving forward, we will continue to diversify and enrich our product offerings by engaging local merchants and partners through different business models in different markets and navigate in the dynamic macro and geopolitical environment.

Revenue from Cloud Intelligence Group grew 18% and overall revenue excluding Alibaba-consolidated subsidiaries increased by 17%, primarily driven by an even faster public cloud revenue growth. Notably, AI-related product revenue maintained triple-digit year-over-year growth for the seventh consecutive quarter. And our AI products are seeing broader adoption across a wide range of industry verticals, including internet, retail, manufacturing, and media, with a growth in focus on value-added applications.

In April, we launched Qwen3 series, a new generation of hybrid reasoning models that combine the capabilities of fast, simple responses and deeper chain of thought reasoning into a single model. The Qwen3 series covers a full range of model sizes, including two MoE models and six dense models. All Qwen3 models have been fully open sourced on Model Scope, Hugging Face, and other platforms. We believe the full open sourcing of Qwen3 will drive innovation and the new applications by developers, start-ups and enterprises.

Cloud’s adjusted EBITA increased by 69% year-over-year, primarily due to faster growth of public cloud products and improving operating efficiency, partly offset by increasing investments in customer growth and technology innovation.

We will continue to invest in anticipation of customer growth and technology innovation, including AI products and services, to increase cloud adoption for AI and maintain our market leadership.

The adjusted EBITA margin decreased quarter-over-quarter by 1.9 percentage points. We increased investments in technology and product development to capture the surge in AI demand. And also as we ramp up infrastructure investments to growing demand, higher depreciation and amortization expenses also weighed on margins.

Revenue from Cainiao decreased by 12% and its adjusted EBITA increased by 55%. This is the result of the increasing integration of logistic offerings into our e-commerce businesses.

Revenue from Local Services Group grew 10%, driven by the combined order growth of both Amap and Ele.me, as well as revenue growth from marketing services, while its adjusted EBITA loss continued to narrow year-over-year as scale increased and unit economics improved due to operating efficiency. Our adjusted EBITA loss increased quarter-over-quarter mainly due to seasonal effects, including high investments during Chinese New Year holiday.

Revenue from Digital Media and Entertainment Group grew 12% to RMB5.6 billion, primarily driven by the stronger performance of the movie and entertainment businesses and the increase in Youku’s advertising revenue. Adjusted EBITA of DME turned positive, primarily driven by Youku’s profitability.

Revenue from All others segments increased by 5%, primarily due to the increase in revenue from Freshippo and Alibaba Health, partly offset by the decrease in revenue from Sun Art due to its sale and deconsolidation in February 2025, while adjusted EBITA loss was RMB2.5 billion.

The All others segment comprises a set of innovative businesses, including several strategic AI-driven technology infrastructure and businesses. While we continue to drive efficiency improvements across business lines, we are also investing in AI opportunities to maintain our competitive edge and to drive future growth.

In closing, during this quarter, we are making significant strides in enhancing the competitiveness of our e-commerce and cloud businesses. Our Taobao and Tmall Group delivered solid growth, reflecting the improvement in monetization efficiency. In Cloud, revenue growth continues to accelerate sequentially. As we are seeing surging demand and ramping up of our capacity, we will onboard more customers and accelerate our business growth.

We are also focusing on improving the efficiency of all segments to establish a clear path to profitability with DME turned profitable this quarter. This quarter, we strengthened our balance sheet by monetizing non-core assets in the financial investments. These actions enable us to focus more on our core businesses and provide greater flexibility to invest decisively for growth and to return value to shareholders. We are executing with speed and precision to capture the substantial opportunities ahead in the AI era.

Thank you. That's the end of our prepared remarks. We can open up for Q&A.

Q&A

Lydia Liu:

(Original)

Hi, everyone. For today's call, you are welcome to ask questions in Chinese or English. A third-party translator will provide consecutive interpretation for the Q&A session. Please note that the translation is for convenience purpose only. In the case of any discrepancy, our management statement in the original language will prevail. If you are unable to hear the Chinese translation, bilingual transcripts of this call will be available on our website within one week after the end of the meeting.

Gary Yu (Morgan Stanley):

(Translation)

Thank you, management. I have two questions related to AI.

First, on the cloud business. Previously, we saw that it was relatively difficult to monetize cloud services in the enterprise segment. But in the era of AI, I recall that management mentioned last quarter that over 90% of tokens are expected to be served via the cloud.

Over the past few months, especially after DeepSeek, have you observed any significant changes in your conversations with enterprise customers? Specifically, are there signs that companies which were previously hesitant to move to the cloud are now migrating their workloads to cloud because of AI? If so, could you share which types of companies or industries are leading this transition? Also, could you provide any guidance for cloud service revenue in FY26?

Second, on AI applications, particularly within e-commerce. If we look ahead two to three years, given that Alibaba was one of the earliest e-commerce companies to invest in AI, do you expect AI tools to help increase our market share? And is there room for improvement in monetization rates leveraging AI tools? Thank you.

Eddie Wu:

(Translation)

Let me take the first question.

Last quarter, our cloud revenue growth accelerated to 18% year-over-year, primarily driven by AI-related demand. In fact, AI-related demand has maintained triple-digit growth for seven consecutive quarters, reflecting strong adoption by new enterprise customers.

As we mentioned earlier, AI adoption was initially concentrated in sectors like internet, fintech, education, and autopilot — the "early adopters". However, we're now observing broader adoption across various other sectors and use cases. Companies that previously relied on offline IDCs or in-house server rooms are now strongly motivated to migrate to the cloud so as to take advantage of AI.

Earlier we cited examples in livestock farming, manufacturing, and the Yiwu Small Commodity Market. Many of these companies are moving significant workloads to the cloud in order to leverage AI capabilities.

For basic applications, some customers may simply call APIs. However, for deeper integration with internal data and business processes, many enterprises are fine-tuning open-source models to meet their own specific requirements.

We're able to serve these needs effectively through Bailian and Alibaba Cloud's GPU rental and other IaaS services.

That's my response to the first question.

But let me add one more point. Based on the industry trends we're observing, more and more companies are adopting cloud services for AI, transitioning from traditional CPU-based computing to AI computing. Hence, we have quite strong confidence that Alibaba Cloud's revenue growth will continue on an upward trajectory in the coming quarters.

Jiang Fan:

(Translation)

Let me take the second question, regarding AI applications in e-commerce.

As I've shared previously, we see tremendous potential for AI applications in the e-commerce space. Currently, we're focusing on using AI to enhance the user experience. AI offers an opportunity to fundamentally rebuild traditional algorithm-based systems for search, recommendations, and advertising. These are definitely our near-term priorities. We're already seeing encouraging results, with AI delivering meaningful improvements in search experience, recommendation precision, and advertising efficiency.

Second, we're also applying AI to improve operational efficiency, both for our internal teams and for merchants. As you know, e-commerce is a labor-intensive industry. Beyond our own platform operations, there is a vast community of merchants who are an integral part of our ecosystem. We believe that AI technology adoption will boost the efficiency of the broader ecosystem.

Third, we believe that AI will ultimately enable new modes of interaction and innovative user experiences. We're actively exploring these possibilities.

Overall, we believe that AI will be a key long-term driver for improving user experience and commercial efficiency across the Taobao platform. Thank you.

Alex Yao (JP Morgan):

(Translation)

Thank you, management, for taking my questions. I have two questions regarding Taobao and Tmall's monetization strategy for domestic e-commerce.

First, how should we think about your monetization rate strategy going forward, in terms of direction and objectives? We've already seen recent financial results reflect the impact of initiatives like Quanzhantui, launched last April, as well as the introduction of the 0.6% software service fee in September. But looking ahead to the medium to long term, what are the key factors driving your approach to monetization?

As background, our understanding is that that your monetization rate has remained stable or even slightly declined over the past two to three years, while your peers have significantly increased theirs, with Taobao now appearing to have one of the lowest monetization rates in the industry. So when considering the monetization rate over the medium to long term, are you primarily considering the gap with competitors, merchant ROI, Alibaba's own ROI, or are there other considerations?

Second, as a follow up regarding the monetization initiatives implemented last year—such as Quanzhantui and the Taobao commission—should we view these as one-year initiatives that are now complete? Or are they part of a broader, multi-year strategy aimed at gradually increasing your monetization rate over time? Thank you.

Jiang Fan:

(Translation)

Let me take those questions.

Regarding the question about continued monetization rate improvement, our top business priority remains stabilizing our market share over the medium to long term. Fundamentally, our monetization rate is a reflection of our market share and commercial efficiency.

Over the past year, through new products such as Quanzhantui, we've been able to better monetize sellers who were not effectively reached by traditional advertising tools, including white-label merchants. For these sellers, we've seen a notable increase in monetization.

I believe this trend will continue in the coming quarters. Additionally, last year we also introduced the software service fee, which has provided a short-term boost to our monetization rate.

Looking further ahead to the longer term, we aim to drive GMV growth and stabilize our market share by enhancing user experience and optimizing our business model and commercial efficiency. On that basis, we will continue to explore new commercial products and monetization models. As mentioned earlier, this includes AI-driven innovations as well as other areas with potential.

Ultimately, we aim to unlock new monetization opportunities through ongoing innovation and improvements in commercial efficiency.

Ronald Keung (Goldman Sachs)

(Translation)

Thank you, Eddie, Toby, Jiang Fan, and Lydia. I have a question regarding Alibaba Cloud's growth momentum.

Last quarter, I recall that management mentioned a surge in inference demand beginning in January, around the Chinese New Year period. Did this accelerate significantly in February and March? In other words, did the growth rate continue to rise month-over-month, and does the reported 18% year-over-year growth for the quarter represent the average of January, February, and March?

Secondly, we've observed that Qwen has introduced some smaller, more efficient models suitable for edge deployment. Given this trend toward "small but powerful" models, how do you see the balance between large and small models shaping the future growth of demand for cloud-based AI inference? Thank you.

Eddie Wu:

(Translation)

Let me take those questions.

On your first question regarding monthly revenue cadence, January, February, and March were affected by the Spring Festival, so activity during that time wasn't as evenly distributed as in regular months. As such, we believe the monthly breakdown may not be particularly meaningful as a reference.

That said, we did see a significant increase in new customer demand around the Spring Festival period, primarily driven by inference-related applications. However, many of these customers are only beginning to gradually scale their deployments, some starting in February or March, and others not until April or May.

Therefore, we expect that growth in the coming months will provide a more accurate reflection of business momentum under normal operating conditions. In contrast, first-quarter activity was affected by various supply chain disruptions, as well as the seasonal effects of the Spring Festival holiday. But overall, we continue to see steady and healthy growth in inference-driven customer demand.

As for your second question regarding AI model sizes and their impact on our cloud business, it’s true that our open-source Qwen models include many lightweight versions suitable for edge deployment. For example, models in the 3B parameter range or smaller are often deployed on mobile phones, smart toys, and other smart devices. These edge deployments typically have a more limited direct impact on cloud usage.

That said, customers leveraging these models often still require cloud-based components to deliver a complete solution, as edge models alone may not be sufficient. As for larger models with 32B parameters or more, while they technically can run on consumer-grade GPUs, large-scale applications are still more effectively deployed in the cloud, which offers better workload elasticity and higher cost efficiency.

So we see a complementary relationship between our lightweight edge models and larger cloud-hosted models, contributing to increased customer reliance on Alibaba Cloud products.

Kenneth Fong (UBS):

(Original)

Good evening, management, and thanks for taking my question. I have a question. In our recent announcement in the quick commerce investment, that we said we will invest RMB 10 billion with Ele.me to grow the quick commerce business. Can management share some plans on area of investment why we do it now? And how would it impact our profitability for Local Services, especially in light of the intensified competition in the food delivery business recently? Thank you.

Jiang Fan:

(Translation)

Let me take that question.

Alibaba didn’t just start entering the quick commerce space today. We have been strategically building our presence in this market for many years, from our investment in Ele.me through to developing businesses like Freshippo.

So our new investment into the quick commerce market is a very natural move for us. Of course, there have been some notable new developments in this space recently. Let me briefly explain our rationale for this investment, along with the advantages we bring.

First, we see quick commerce as a huge market opportunity. It addresses a widespread, everyday need for consumers across Chinese society. Today, it could be a market of 500 to 600 million consumers. Going forward, that could easily become 1 billion consumers.

We believe that Taobao already has a large and diverse user base, so it's a natural step for us to integrate quick commerce into the Taobao platform as a new service offering, or a new category.

Second, we have a strong foundation to build on. We have a large base of mature existing merchants and a well-established logistics network, thanks to Ele.me's many years in local services. We are leveraging this to deliver a seamless quick commerce experience directly on Taobao.

These advantages allow us to quickly achieve a superior user experience, while maintaining a good balance in terms of commercial efficiency.

I'd also note that our pilot of *Taobao Instant Commerce* over the past two weeks has actually outperformed our expectations, in terms of both scale and efficiency.

We believe this initiative will bring us multiple long-term benefits. First, for an e-commerce app like Taobao, quick commerce represents a high-frequency use case. Establishing this service on Taobao will help drive greater user engagement and long-term user growth.

Second, looking ahead, we anticipate greater convergence between traditional e-commerce and quick commerce. Over the coming period, we will be making proactive investments to convert more existing Taobao users into quick commerce users.

In the long run, we believe we can leverage this new business to upgrade our commercial model and increase user engagement on the Taobao app.

In the short term, our investment focus will be primarily on new users, as I just mentioned. We see substantial untapped potential among existing Taobao users to convert them to quick commerce users. Therefore, we will be investing aggressively in this business.

Joyce Ju (Bank of America):

(Translation)

Good evening, and thank you for the opportunity to ask my questions.

First, we understand that this year's 618 Shopping Festival has recently kicked off, and there may be some differences this year in terms of campaign structure and pre-sale timing. Could you share with us your strategy for this year’s event? And what kind of feedback are you seeing so far from merchants and users?

Second, as a follow-up to the earlier discussion on Instant Retail, have you seen any positive surprises in terms of short-term synergies between quick commerce and the 618 campaign? Looking ahead to the next month or two, are you expecting further investment or deeper collaboration between the two? Are there any specific goals or milestones you hope to achieve?

Jiang Fan:

(Translation)

Let me take this question.

As I mentioned earlier regarding our quick commerce strategy, in the short term, our focus remains on how to rapidly convert more Taobao users into quick commerce users, while building mindshare for this offering within the Taobao ecosystem. From our initial testing, we’ve observed that when users try out new services like *Taobao Instant Commerce*, their engagement levels increase significantly.

That said, at this stage, our primary goal is still to establish and operate this business well. In the long term, I believe there is strong potential for integration between *quick commerce* and our traditional e-commerce operations.

Coming back to this year’s 618 campaign, we have not deliberately pursued deep integration between the new *Taobao Instant Commerce* business and our core e-commerce business for this event.

The 618 campaign officially kicks off tomorrow. This year, we’ve made a few changes, including adjustments to marketing tactics and campaign pacing. These changes are tailored to the latest competitive dynamics. Of course, our core aim remains the same: to deliver great experiences, great prices, and great service to consumers.

Since the event hasn’t officially started yet, it may be more appropriate to share the results with you next time.

Alicia Yap (Citigroup):

(Original)

Good evening. Thanks for taking my questions.

I wanted to follow up on the CMR this quarter, so I wanted management to elaborate a little bit, the strong performance this quarter. How much of that is driven by the GMV versus the 0.6% fee and the Quanzhantui improvement?

And also I wanted to follow up, how much more levers that these improvement of Quanzhantui could further drive the monetization improvement in this upcoming fiscal 2026?

And then also follow-up, will the step-up investment in the food delivery business put some pressure on the TTG EBITA in the coming quarters? Thank you.

Toby Xu:

(Translation)

Thank you. Let me start with the question regarding CMR.

As we explained earlier, this quarter's strong CMR growth was primarily driven by two factors. First, the introduction of the 0.6% software service fee, which we began implementing in September of last year. Second, the increasing penetration of Quanzhantui within our overall advertising revenue.

Looking ahead to the new fiscal year, both of these factors will continue to contribute. The impact would still last for a period of time as last fiscal year represents a relatively low base, or even a zero base as this fee was not yet being charged[1]. That is the first point.

Secondly, we offered certain concessions to merchants during the initial rollout of the software service fee. These will be gradually phased out in the new fiscal year, or over the course of calendar year 2025. As a result, the software service fee will continue to contribute to take rate expansion in the coming year.

Third, with respect to Quanzhantui, its penetration rate is fully in line with our expectations, and adoption continues to grow. This continued expansion of Quanzhantui will also have a positive impact on our overall take rate.

Importantly, this growth in Quanzhantui adoption is being driven primarily by newly acquired advertisers, as Jiang Fan mentioned. These include SMEs and white-label merchants, who had not previously been using our advertising products. As such, this represents incremental budget and incremental advertising revenue, which will also positively contribute to take rate improvement in the new fiscal year.

Turning to your question about EBITA. First, as Jiang Fan mentioned earlier, our mid-term objective remains unchanged: we are committed to stabilizing our overall market share.

To support this goal, we will continue to invest across various areas, including investments in enhanced user experience and price-competitive products. As we've said before, we remain in an investment phase, so EBITA may fluctuate from quarter to quarter depending on how the competitive landscape evolves. You will have already observed this over the past few quarters.

[1] Software service fee was first implemented in September 2024

Beginning this quarter, we are also making additional investments in areas such as quick commerce, which may similarly have some impact on EBITA.

That said, we believe these investments will drive meaningful gains in user growth, usage frequency, and user stickiness. In a certain sense, you could view this as supplanting some of our previous investments in market growth. We take all these factors into consideration as part of our broader strategic planning.

All in all, we expect that there may be continued fluctuation in TTG's EBITA over the coming quarters, reflecting changes in the competitive environment.

Lydia Liu:

(Original)

Thank you everyone for joining us today. We appreciate your time. We will see you next quarter.

[END OF TRANSCRIPT]